

Demand The amount of *goods* or *services* that a person or group of people is willing and able to buy. The greater the demand, the higher the price.

Depression A severe long-term decline in economic activity, in which *demand* and output slump, unemployment rises, and *credit* is scarce.

Development The policies and *investment* by which a nation grows its economy and improves the well-being of its people—or seeks to assist others in poorer, developing countries.

Division of labor The allocation of tasks to individuals or organizations according to their skills and resources, in order to improve efficiency and increase output.

Exports The sale of *goods* and *services* to other countries. Opposite of *imports*.

Externality A cost or benefit from an economic activity, which affects people not involved in that activity, and isn't reflected in its price. For example, noise from an airport may lower the value of nearby homes, but bees kept to produce honey may pollinate crops on a nearby farm.

Free-market economy A *market* economy system in which decisions about *production* and prices are made by private individuals and companies, on the basis of *supply and demand*, with little or no *government* control.

Free trade The *import* and *export* of *goods* and *services* without restrictions such as *tariffs* or *quotas* being imposed by *governments* or any other organizations.

GDP Gross domestic product. A measure of national income over one year. GDP is calculated by adding up a country's annual output of *goods* and *services* and is often used to measure a country's economic activity and wealth.